

- 2 On 31 August 2011 the following extract was taken from the balance sheet of Stavros:

Non-current assets	Cost	Accumulated depreciation	NBV
	\$	\$	\$
Equipment	60 000	24 000	36 000
Office Computers	<u>8 000</u>	<u>5 600</u>	<u>2 400</u>
	<u>68 000</u>	<u>29 600</u>	<u>38 400</u>

The following transactions took place during the year ended 31 August 2012:

- 1 On 31 January 2012, equipment purchased on 1 April 2009, at a cost of \$28 000, was sold for \$10 000. Payment was received by cheque.
- 2 On 1 February 2012, new equipment was purchased at a cost of \$35 000.
- 3 On 20 March 2012, office computers were purchased for \$600.

Stavros has the following depreciation policy:

Equipment is depreciated at the rate of 20% per annum using the straight-line method.

Office computers are depreciated at the rate of 25% per annum using the diminishing (reducing) balance method.

A full year's depreciation is charged on equipment and office computers in the year of purchase.

No depreciation is charged on equipment in the year of sale.

REQUIRED

- (a) (i) Explain the term depreciation.

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 [2]

- (ii) State **two** causes of depreciation.

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 2 [2]

- (b) State **one** advantage of using the straight-line method of depreciation.

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 [2]

(i) Provision for depreciation of equipment account

This image shows a blank sheet of white paper with ten horizontal dashed lines, typical of primary-ruled notebook paper. The lines are evenly spaced and extend across the width of the page. There is no handwriting or other markings on the paper.

[8]

Non-current assets	Cost	Accumulated depreciation	NBV
	\$	\$	\$
Equipment			
Office Computers			

[Total: 20]